

ferred issue and the repayment of \$20 per share of common stock on account of capital.⁴

Subsequently the company embarked on a policy of piecemeal liquidation which resulted in a series of payments on capital account. From September 1929 to the final distribution in 1940 there was paid a total of \$94 per share as return of capital, as well as \$8 in the form of dividends. As we pointed out in our last chapter, these steps were highly effective in improving the status of the Otis stockholders during a period when most other issues were suffering a shrinkage in value, and ultimately gave them a far larger return than they were likely to receive through the continuance of the business.

Hamilton Woolen Company. The history of this enterprise since 1926 is even more interesting in this connection because it suggests a model technique for the handling by directors of problems affecting the stockholders' investment. In 1927 continued operating losses had resulted in a market price well below liquidating value. There was danger that the losses might continue and wipe out the capital. On the other hand, there was a possibility of much better results in the future, especially if new policies were adopted. A statement of the arguments for and against liquidation was forwarded to the stockholders, and they were asked to vote on the question. They voted to continue the business, with a new operating head; and the decision proved a wise one, since good earnings were realized, and the price advanced above liquidating value.

In 1934, however, the company again showed a large loss, occasioned in good part by serious labor difficulties. The management again submitted the question of liquidation to the stockholders, and this time a winding up of the business was voted. A sale of the business was promptly arranged, and the stockholders received somewhat more than the November 1934 current-asset value.

Particularly noteworthy were the details of the 1927 proceedings. The ultimate decision—to continue or to quit—was put up to the stockholders in whose province it lay; the management supplied information,

⁴ Other examples of partial return of capital by companies continuing in business include: Cuban Atlantic Sugar Company (1938–1939), Great Southern Lumber Company (1927–1937), Keystone Watch Case Corporation (1932–1933) as well as Davis Coal and Coke Company and the several Standard Oil pipe line companies previously referred to (Chaps. 41 and 43).